CSIS CHINA PROGRAMS

China Daily Brief

Sunday, October 11, 2026

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RE: Lai's National Day speech draws TAO fire · EU curbs Chinese hybrids · PBOC's 23rd gold buy · SCS drills Oct 12-20

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6922	3,813.79	24,211.35	$104.72
▼ -0.18%	▼ -0.26%	▲ +1.00%	▲ +4.12%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Taiwan's Lai Ching-te told Double Ten crowds the island 'will not give up its freedom,' drawing an immediate rebuke from Beijing's Taiwan Affairs Office, which branded him a 'pragmatic Taiwan independence worker.'
2. The FT reports China's rising debt-service burden is squeezing room for new stimulus just as the NDRC pledges 'more policy tools' to hit 2026 growth targets.
3. Chinese maritime authorities posted back-to-back South China Sea navigation warnings for exercises and live-fire drills running October 12-20, as the EU moves to halve imports of Chinese hybrid vehicles.

TOP STORIES

CROSS-STRAIT

Lai says Taiwan will not give up its freedom; Beijing calls him 'pragmatic independence worker'

President **Lai Ching-te** told Double Ten National Day crowds in Taipei that Taiwan 'cherishes peace' but will not give up its freedom. Beijing's Taiwan Affairs Office spokesperson **Zhang Han** called the speech the 'true colors performance' of a 'pragmatic Taiwan independence worker,' while the Ministry of National Defense said PLA drills encircling Taiwan are 'entirely justified.'

WAPO · TAO/MND STATEMENTS VIA CHINESE STATE MEDIA

PRC-ECONOMY

China's rising debt-service burden narrows room for stimulus

The FT reports China's mounting interest payments are restricting Beijing's headroom to revive domestic demand through fresh stimulus, citing economists tracking the government's debt load. The NDRC separately pledged Oct 10 to deploy 'more policy tools' to meet 2026 economic targets.

FT · NDRC PLEDGE VIA BLOOMBERG

INDO-PACIFIC

China posts back-to-back South China Sea drill, live-fire navigation warnings

Sanya's Maritime Safety Administration warned of daily military exercises from *7-9am* in parts of the South China Sea running Oct 12-20, barring vessel transit during those windows. Zhanjiang's MSA separately warned of live-fire drills Oct 12-16 daily from 8am-6pm in a different stretch of the South China Sea.

央视网 · 中国海事局航行警告

TECHNOLOGY

US AI buildout leans on China, WaPo reports

The Washington Post reports the US AI infrastructure race now depends in part on Chinese-linked supply chains and manufacturing capacity. The dependency persists even as Washington and Beijing continue treating AI as a central front in their strategic rivalry.

WAPO

OVERNIGHT

LEGAL

Former Wuhan mayor Zhou Xianwang sentenced to 14 years for bribery · AP

A Henan court sentenced former Wuhan mayor Zhou Xianwang to 14 years in prison and a 5 million yuan fine for bribery spanning 2003-2025. Zhou, who oversaw Wuhan's early 2020 COVID-19 response and was investigated from July 2025, took more than 60 million yuan in bribes.

TECHNOLOGY

Returning correspondent finds China richer but more surveilled · NYT

A longtime correspondent returning to China after decades away describes bullet trains and dazzling skylines alongside a surveillance state she calls more paranoid and pervasive than ever. The essay, drawing on visits across Hainan, Shanghai and Inner Mongolia, traces the arc from Deng-era openness to tightened controls under Xi Jinping.

PRC-ECONOMY

New Hong Kong-Shenzhen Huanggang crossing opens Monday · 联合早报

The new Huanggang port opens Oct 12 as the only 24-hour land crossing between Hong Kong and Shenzhen, using a 'joint inspection, single release' model. Hong Kong leader John Lee presided over the opening; crossing times should fall from 30 minutes to as little as five.

INDO-PACIFIC

Philippines opens largest OFW service center in Taipei · Focus Taiwan

The Philippines opened its largest Overseas Filipino Workers service center in Taipei on Oct 11, with officials saying they plan further expansion. The center is meant to expand consular and labor-rights support for Filipino workers based in Taiwan.

TECHNOLOGY

Taiwan's TiSPACE eyes 2028 rocket launch from Hokkaido · 联合早报

Taiwanese private rocket firm TiSPACE plans to launch a larger two-stage rocket from Hokkaido's Taiki spaceport around 2028, an executive told NHK, after its 12-meter VP01 rocket crashed under a minute after a July 2025 attempt there. The executive cited Taiwan-Japan proximity and good relations for the site choice.

CROSS-STRAIT

Tsai Ing-wen meets Silicon Valley entrepreneurs in San Francisco · Taipei Times

Former president Tsai Ing-wen met Silicon Valley tech entrepreneurs and venture capitalists on Friday, her first US visit since leaving office, after a stop at Stanford University. She urged young Taiwanese in tech to share Taiwan's experience abroad while bringing back insights on talent and investment.

TECHNOLOGY

Security lapses reported at FAST telescope's protected core zone · 联合报 (UDN)

Chinese media reported security checks are routinely bypassed at the FAST radio telescope's protected core zone in Guizhou, where a hotel sells a 598-yuan package letting guests drive directly to the ring beam with phones and cameras. Rules restrict a 30km quiet zone around FAST to prevent radio interference.

US–CHINA

TARIFF · WASHINGTON POST

Voter opposes Chinese manufacturing even as husband's job depends on it

The Washington Post profiles a voter who opposes Chinese manufacturing even as her husband's employer depends on it. The piece is part of a broader look at how tariff and trade politics are playing out ahead of the Nov 3 midterms.

LEGAL · WSJ

Chinese fentanyl-precursor makers pivot to bootleg peptides for US buyers

Chinese chemical manufacturers that once supplied fentanyl precursors are now marketing bootleg peptide products directly to American consumers online, the Journal reports. The shift highlights a persistent enforcement gap even after years of US pressure on precursor chemical exports.

LEGAL · WSJ

Geely to enter Canada in 2027 as US pushes to ban Chinese cars

Geely said it will enter the Canadian market in 2027, expanding in North America even as Washington pushes to restrict Chinese-made and -connected vehicles under Commerce's connected-vehicle rule. The move underscores Chinese automakers' continued push into markets adjacent to the US.

INVESTMENT · WSJ

Western consumer giant thrives on China's social-media shoppers

A major Western consumer-goods company is thriving by selling through China's social-media shopping platforms, the Journal reports. The success comes even as many other Western brands retreat from or shrink their China operations.

SANCTIONS · 法广中文 (RFI CHINESE)

US sanctions Iran 'shadow fleet' network, hits Chinese firms and vessels

The US Treasury sanctioned a network tied to Iran's 'shadow fleet,' designating multiple mainland Chinese and Hong Kong firms along with affiliated vessels, per RFI's Chinese service. The action targets entities accused of facilitating sanctioned Iranian oil shipments.

CHINA & THE WORLD

CROSS-STRAIT · TAIPEI TIMES

Han Kuo-yu warns Taiwan must not be seen as 'fake democracy'

Legislative Speaker Han Kuo-yu, speaking at Taiwan's Double Ten ceremony, warned the island's democracy is fraying and must not be seen as 'fake democracy, real dictatorship,' citing last year's recall campaigns and the Executive Yuan's refusal to countersign legislation. He proposed 'two protections, two upholdings' covering the ROC, democratic freedom, US-Taiwan relations and cross-strait peace.

CROSS-STRAIT · CHINA TIMES

Mainland scholar: Beijing weighing restraint before Taiwan elections

Mainland scholar Bao Chengke said Beijing is carefully weighing whether to stage retaliatory military exercises after a Sept 1 Taiwan coast guard water-cannon incident near Pratas, but is wary of handing the DPP a campaign issue before Nov 28 local elections. 'The mainland hasn't acted yet, but that doesn't mean it won't,' he said.

JAPAN · 联合早报

Japan: four China Coast Guard ships entered Senkaku waters, 17 days this year

Japan said four China Coast Guard vessels entered waters around the Senkaku Islands, bringing the cumulative number of incursion days this year to *17*, according to Lianhe Zaobao. The report did not specify the vessels' hull numbers or duration of the latest incursion.

KOREA · WSJ

Hackers used Chinese AI tool to breach South Korean banks

Hackers used a Chinese AI tool to breach South Korean banks, the Journal's Morning Risk Report found. The incident exposes a new category of AI-enabled cyber risk for financial institutions in the region.

EUROPE · BLOOMBERG

EU plans measures to halve imports of Chinese hybrid cars

The EU plans measures to halve imports of Chinese hybrid vehicles, Bloomberg reports, extending Brussels' efforts to curb Chinese automotive overcapacity beyond the EV tariffs already in place. The plan follows Wang Yi's Oct 10 remarks to France's presidential adviser that trade frictions are a 'phase-specific phenomenon' to be managed through dialogue.

AFRICA · 人民网

Botswana's President Boko to make first state visit to China

Botswana President Duma Boko will make a state visit to China Oct 12-17 at Xi Jinping's invitation, his first trip to Beijing since taking office in November 2024. He is a 57-year-old lawyer by training.

ASEAN · NIKKEI ASIA

Toyota offers low-cost financing in Thailand to counter cheap Chinese EVs

Toyota began offering low-cost, Japanese-style auto financing in Thailand to counter cheap Chinese EVs, Nikkei Asia reports. Chinese automakers have continued gaining market share in Southeast Asia's largest auto market.

STAT OF THE DAY

23

Consecutive months of PBOC gold reserve increases

China's central bank added roughly 23 tonnes in September alone, lifting total reserves to about 2,410 tonnes, even as speculative COMEX gold positioning fell for a fifth consecutive week.

PBOC data via Sohu

ECONOMY & BUSINESS

AUTO · BLOOMBERG

China issues draft standards for remanufactured auto parts

China issued draft standards Oct 11 governing remanufactured automotive parts, part of a broader push to formalize the country's circular-economy auto parts market.

AUTO · 财新 (CAIXIN)

Four ministries tighten rules on auto R&D testing, ban hidden door handles

Four ministries including MIIT proposed rules Oct 10 requiring at least *30,000 km* of reliability testing and a full year of environmental-adaptability testing before launch, while banning fully concealed door handles and foldable displays.

TECH / CHINA TELECOM, CHINA MOBILE, CHINA UNICOM · 观察者网

China Telecom's enterprise-services revenue falls for 2026

China Telecom's enterprise-services revenue fell 1.9% year-on-year to 131.45 billion yuan in the first seven months of 2026, with July down 3.2%; only 16 of 31 provincial units posted growth, led by Gansu and Qinghai.

TECH / SUMITOMO BAKELITE · SCMP

Sumitomo Bakelite expands China chip-packaging materials output

Japan's Sumitomo Bakelite said Oct 9 it will expand chip-packaging materials production in Suzhou and Singapore, its second such expansion in under four months as AI demand lifts sales.

TECH / BYTEDANCE, TENCENT, ALIBABA · 财新周刊 (CAIXIN)

ByteDance, Tencent, Alibaba race to embed AI agents in office apps

ByteDance, Tencent and Alibaba are racing to embed AI agents across daily office workflows, with Tencent's WorkBuddy generating data dashboards from spreadsheets in minutes and ByteDance's tools auto-drafting ad copy from product reviews.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · SUNDAY, OCTOBER 11, 2026

国家发展和改革委员会 · NDRC · *NDRC*

Pledges more policy tools to meet 2026 growth targets

The NDRC said Oct 10 it would deploy additional policy tools to ensure China meets its economic targets, following reports that Beijing's leadership is weighing supplementary Q4 stimulus amid slowing growth.

→ Bloomberg ↗

中国人民银行 · PBOC · *PBOC*

Gold reserves rise for 23rd straight month

PBOC gold reserves rose 740,000 ounces (about *23 tonnes*) in September to 77.47 million ounces (roughly 2,410 tonnes), a 23rd consecutive monthly increase even as COMEX speculative net-long gold positions fell for a fifth straight week.

→ PBOC data via Sohu ↗

中国证监会 · CSRC · *Wu Qing, CSRC Chairman*

Chairman holds symposium with listed firms amid market selloff

Wu Qing convened a Beijing symposium Oct 10 with listed-company executives and securities/fund industry experts after the ChiNext index briefly fell below 3,000 and the STAR 50 dropped over 4% intraday on Oct 9.

→ UDN (经济日报) ↗

国务院 / 国家市场监督管理总局 · STATE COUNCIL / SAMR · *State Administration for Market Regulation*

Releases draft revision of Food Safety Law for public comment

The draft, published Oct 10, adds a dedicated school-food-safety section requiring principals to personally oversee student meals, extends platform liability to livestream food sellers, and allows lifetime industry bans for serious violators.

→ State Council ZH ↗

财政部 · MINISTRY OF FINANCE · *Ministry of Finance*

Orders party and government agencies to 'tighten belts' amid fiscal strain

The Oct 9 mid-year report said Beijing would strictly enforce austerity across party and government agencies and universities and pursue a fiscal-management pilot with tighter spending controls.

→ Liberty Times (自由时报) ↗

WHAT BEIJING IS SAYING

国台办 · TAO · RESPONSE TO LAI CHING-TE'S DOUBLE TEN SPEECH — **FIRM · TO TAIWAN**

Zhang Han '· TAO spokesperson

“Lai Ching-te's speech disregards the facts and distorts right and wrong; it misleads the public and conceals ulterior motives, it is the true-colors performance of a 'pragmatic Taiwan independence worker.'”

赖清德的讲话，罔顾事实、颠倒是非，误导民众、用心叵测，是其作为“务实台独工作者”的“本色表演”。

Statement responds to President Lai Ching-te's Oct 10 National Day address in Taipei, in which he said Taiwan would not give up its freedom.

国台办 (TAO ZH) via 新浪财经

外交部 · MOFA · PROTOCOL DISPUTE OVER NAMING PM TAKAICHI WITHOUT TITLE — **FIRM · TO JAPAN**

Mao Ning '· MOFA spokesperson

“China has already repeatedly clarified its position on the current China-Japan relationship.”

中方已经多次阐明对当前中日关系的立场。

Japan's foreign ministry had protested that MOFA spokespersons refer to Prime Minister Sanae Takaichi by name without an honorific title.

外交部发言人 (MOFA presser ZH) via 中华网

王毅 · WANG YI · 28TH CHINA-FRANCE STRATEGIC DIALOGUE, EU TRADE TENSIONS — **CONCILIATORY · TO EU**

Wang Yi '· Foreign Minister and Director of the Central Foreign Affairs Office

“Trade frictions are only a phase-specific phenomenon. The two sides should keep to the partnership position, put trade issues in their proper place within China-EU relations, and promote a 'win-win' rather than a 'lose-lose' outcome.”

经贸分歧只是阶段性现象。双方应坚持伙伴定位和合作基调，将贸易问题置于中欧关系适当位置，促进“双赢”、避免“双输”，实现“向上平衡”而非“向下平衡”。

Remarks made during the 28th China-France strategic dialogue with French presidential diplomatic adviser Emmanuel Bonne in Datong on Oct 10, as Brussels moves to curb Chinese hybrid-vehicle imports.

外交部 (MOFA ZH)

WHAT OTHERS ARE SAYING

联合早报 · OCT 11, 2026

Fu Ying · Former Vice Foreign Minister of China

“The real challenge facing the Arctic region currently is climate change, not imagined security threats and geopolitics.”

Remarks made in dialogue with Arctic Circle Forum chairman Ólafur Ragnar Grímsson at the 2026 Arctic Circle Assembly in Reykjavik, Oct 8-10.

source

TAIPEI TIMES · OCT 11, 2026

Han Kuo-yu · Legislative Speaker, Taiwan

“Taiwan must not be seen by the world as a 'fake democracy, real dictatorship.'”

Delivered in a 17-minute speech at Taiwan's Double Ten National Day ceremony, departing from prepared remarks.

source

CHINA TIMES · OCT 11, 2026

Bao Chengke · Researcher, Shanghai Association of Taiwan Studies

“The mainland hasn't acted yet, but that doesn't mean it won't.”

Comment follows a Sept 1 Taiwan coast guard water-cannon incident near Pratas and precedes Taiwan's Nov 28 local elections.

source

TAIPEI TIMES · OCT 11, 2026

Tsai Ing-wen · Former President of Taiwan

“A country's strength lies not only in its government and businesses, but also in people, especially young people willing to take risks.”

Remarks made during a second consecutive day of meetings with Silicon Valley entrepreneurs in San Francisco, her first US trip since leaving office.

source

THE WIRE

DIPLOMACY

外交部发言人 (MOFA PRESSER ZH)

MOFA accuses Japanese right-wing groups of feeding AI models doctored WWII history

China's MOFA accused Japanese right-wing groups of feeding doctored WWII-era history into mainstream AI models, citing the Nanjing Massacre and Marco Polo Bridge incident.

PRC-ECONOMY

商务部 (MOFCOM ZH)

Beijing unveils 2030/2035 IP development plan

Beijing published a 2030/2035 IP plan targeting 240 high-value patents per 10,000 residents and a 28% GDP share for patent-intensive industries.

PLA

解放军报 (PLA DAILY ZH)

PLA Daily warns on Japan's satellite-launch research push

PLA Daily commentary warned Japan's new satellite-launch research program serves 'counterattack capability' ambitions tied to its lengthening anti-ship missile range.

CROSS-STRAIT

TAIPEI TIMES

Taiwan foreign ministry releases 'Album of a Nation' video

Taiwan's Foreign Ministry released a 13-language AI-assisted video marking 30 years since the island's first direct presidential election.

TECHNOLOGY

SCMP

Hong Kong police arrest man over 23,000 bogus customer-service scam calls

Hong Kong police arrested a 24-year-old man accused of 23,000 fraudulent e-commerce impersonation calls in a week, costing one victim over HK$100,000.

UPCOMING

Oct 12

Botswana President Boko begins state visit to China

President Duma Boko visits China Oct 12-17 at Xi Jinping's invitation, his first trip to Beijing since taking office in Nov 2024.

Oct 25

UN Resolution 2758 55th anniversary

Marks 55 years since the UNGA resolution recognizing the PRC's UN seat; Beijing and Washington continue to dispute whether it addresses Taiwan's status.

Nov 3

US midterm elections

Control of Congress at stake, with implications for pending China trade and tech-control legislation.

Nov 10

Busan-deal suspensions due to lapse

The one-year suspensions of the BIS Affiliates ('50%') Rule and China's Oct 2025 rare-earth export controls are due to expire absent an extension (status as of Sep 5 baseline; verify closer to date).

Nov 28

Taiwan nine-in-one local elections

22 mayoral and magistrate races plus roughly 11,000 local offices, read as a midterm on President Lai Ching-te.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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